Finding Your Own Way

“Something about the mind, wired to find patterns both real and imaginary, rebels at the notion of fundamental disorder.”[16] Those words, written by George Johnson in his book *Fire in the Mind*, reveal the dilemma that all investors face. The mind craves patterns, Johnson believes; patterns suggest order, which allows us to plan and make sense of our resources.

What we have come to understand about Buffett is that he is continually seeking patterns—patterns that can be found when analyzing a business. He also knows that these business patterns will, at some point, reveal the future pattern of the stock price. Of course, a stock price pattern will not obligingly follow every change in the business pattern, but if your time horizon is long enough, it is remarkable how the price patterns eventually match up with the business patterns.

Too many investors are seeking patterns in the wrong places. They are certain that there is some predictable pattern for gauging short-term price changes. But they are mistaken. There simply are no predictable patterns for guessing the future direction of the stock market. The exact patterns do not repeat. Still, these investors keep trying.

How do investors maneuver in a world that lacks pattern recognition? The answer is to look in the right place at the right level. Although the economy and the market as a whole are too complex and too large to be predictable, there are recognizable patterns at the company level. Inside each company, there are business patterns, management patterns, and financial patterns.

If you study these patterns, in most cases you can make a reasonable prediction about the future of the company. Warren Buffett focuses on those patterns, not on the unpredictable behavioral patterns of millions of investors. “I have always found it easier to evaluate the weights dictated by fundamentals,” said Buffett, “than votes dictated by psychology.”[17]

One thing we can say with certainty is that knowledge works to increase our investment return and reduces overall risk. I believe we can also make the case that knowledge is what defines the difference between investment and speculation. In the end, the more you know about your companies, the less likely it is that pure speculation will dominate your thinking and your actions.